

If during 1969 you found yourself having to pay for a traditional burial (\$980) of a loved one from one of the many funeral outlets owned by Service Corporation International, and somehow in spite of your grief you managed to invest another \$980 in SCI stock, your 70 shares would have been worth \$14,352.19 in 1987. A \$10,000 investment in SCI would have resulted in a \$137,000 gain.

If back in 1982, during the same week you bought that first \$2,000 Apple computer so your children could improve their grades and get into college, you'd put another \$2,000 into Apple stock, then by 1987 those shares in Apple were worth \$11,950, or enough to pay for a year at college.

THE POWER OF COMMON KNOWLEDGE

To get these spectacular returns you had to buy and sell at exactly the right time. But even if you missed the highs or the lows, you would have done better to have invested in any of the familiar companies mentioned above than in some of the esoteric enterprises that neither of us understands.

There's a famous story about a fireman from New England. Apparently back in the 1950s he couldn't help noticing that a local Tambrands plant (then the company was called Tampax) was expanding at a furious pace. It occurred to him that they wouldn't be expanding so fast unless they were prospering, and on that assumption he and his family invested \$2,000. Not only that, they put in another \$2,000 each year for the next five years. By 1972 the fireman was a millionaire—and he hadn't even bought any Subaru.

Whether or not our fortunate investor asked any brokers or other experts for advice I'm not certain, but many would have told him his theory was flawed, and if he knew what was good for him, he'd stick with the blue chips the institutions were buying, or with the hot electronics issues that were popular at the time. Luckily the fireman kept his own counsel.

You might have assumed it's the sophisticated and high-level gossip that experts hear around the Quotron machines that gives us our best investment ideas, but I get many of mine the way the fireman got his. I talk to hundreds of companies a year and spend hour after hour in heady powwows with CEOs, financial analysts, and my colleagues in the mutual-fund business, but I stumble onto the big winners in extracurricular situations, the same way you could:

Taco Bell, I was impressed with the burrito on a trip to California; La Quinta Motor Inns, somebody at the rival Holiday Inn told me about it; Volvo, my family and friends drive this car; Apple Computer, my kids had one at home and then the systems manager bought several for the office; Service Corporation International, a Fidelity electronics analyst (who had nothing to do with funeral